

Why New Growth Doesn't Automatically Lower Taxes

The revenue side is easy to announce. The cost side is harder to slide.

WHAT GETS ANNOUNCED	WHAT GETS COUNTED LATER
Property Tax Revenue New assessed value added to the rolls.	Police & Fire Response Service calls scale with population.
One-Time Permit Fees Collected once, at construction.	Road Maintenance Liability Every lane mile carries a 30-year cost.
Sales Tax Pull-Through Estimated from incoming households.	Water & Sewer Capacity Infrastructure ages. Pipes don't wait.
Ribbon Cutting Photo Op Priceless.	Parks, Drainage, Code Enf. Invisible until they're not.

KEY FINDING · COST OF COMMUNITY SERVICES RESEARCH

\$0.88 – \$0.95

in tax revenue returned per \$1.00
in municipal services consumed
Residential development · national avg

\$1.00+

returned by commercial,
industrial & open land
Why land use mix matters

THE LUMPY INFRASTRUCTURE PROBLEM

Municipal service costs don't scale smoothly. Roads hold, then break.
Fire stations come in whole units, not fractions. Water lines age to thresholds.
The correction lands years after the ribbon cutting — as a surprise.



WHAT THE EXPERTS SAY

- GFOA · Best practices call for lifecycle cost modeling on all capital infrastructure — not just construction cost.
- Lincoln Institute · COCS research consistently documents residential development returning less than \$1.00 per \$1.00 in services consumed.
- TML · Texas cities have tools to conduct fiscal impact analysis. The requirement to use them is a different question.

The math isn't hidden. It's just never all in the same room.